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Software Snippets | Europe

Hyperscaler Capex Forecasts Rise Further

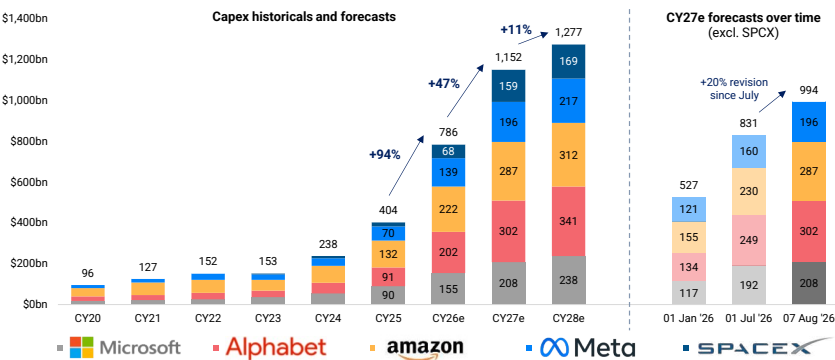
Important events in the world of Software & Services in the week ahead, and key MS research / stories from the past week.

Key Takeaways

- Big 4 CY27 capex estimates +20% since July
- Open-Weights Models & 3 States of the World, and other model news
- SAP: 2Q26 AlphaWise Reseller AI Survey – Traction Building? (#SAP)
- US primary law content now live in Legora (#RELX)
- IONOS: Multi-faceted Growth – Upgrade to Overweight (#IONOS)

1) Big 4 CY27 capex estimates +20% since July: With SpaceX releasing its first set of results as a public company this week, we can step back to see the new shape of the combined capex curve of Microsoft, Alphabet, Amazon, Meta, and SpaceX. Latest Visible Alpha forecasts pin CY27 capex at c. \$1.15 trillion, c. +47% y/y, and approximately half the growth rate forecast for CY26. Since July, the CY27 forecasts for the group (ex-SpaceX) are 20% higher, meaning 2Q was another quarter of strong momentum in capex intentions. The AI debate has broadened with a deeper focus on the role of closed versus open-weight or open-source models (as we discuss below), but more models at different price points broadly means more choice and more democratisation of the technology, underpinning the ongoing need for compute and storage. How the +47%/+11% capex forecasts for CY27 / CY28 evolve from here will be the key question. Head of US Internet Research Brian Nowak [published a wider lens](#) on cloud capex this week, noting "As monthly tokens processed grow exponentially, aggregate cloud revenue for GCP/AWS/Azure accelerates, data center commitments expand, and data center component suppliers highlight accelerating demand and elongating visibility, we believe there will continue to be upward pressure on hyperscaler capex estimates."

Exhibit 1: Amazon + Microsoft + Alphabet + Meta + SpaceX capex forecasts



Source: Visible Alpha data (e = consensus estimates) as at 07/08/2026, Morgan Stanley Research

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TECHNOLOGY - SOFTWARE & SERVICES

Europe

Industry View

In-Line

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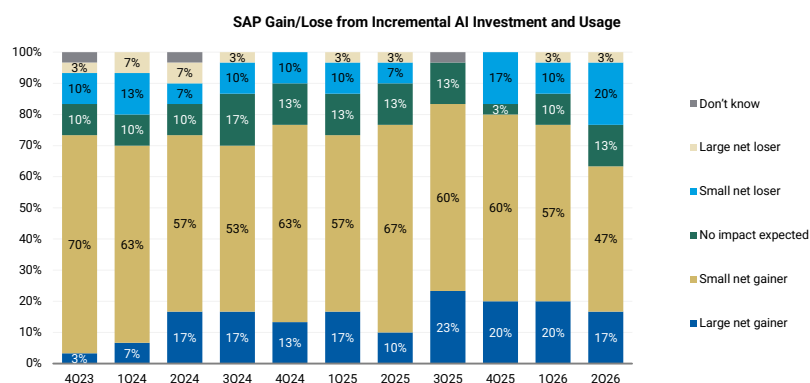
2) Weighing In: Open-Weights Models & 3 States of the World, and other model news this week:

Global Head of Thematic and Sustainability Research, Stephen Byrd, [explored the fast progression of open-source models to try and answer the questions "Who wins - open or closed-weights models - and what does the world look like in each scenario?"](#) Stephen highlights "Three States of the World": **(1)** Closed models win, with token costs falling gradually; **(2)** Hybrid, with closed models for complex tasks and open weights for cheaper, specialised workloads; **(3)** Open-weights win, and reach frontier performance, driving lower prices, broader adoption and more on-premise and edge deployment. Stephen notes, "We believe open-weights models are good for competition and can enable faster AI diffusion, supported by Jevons Paradox, and see a long runway for AI adoption. 60%+ of enterprises use open-weights models as part of their stack, largely isolated to specific use cases requiring speed, security, or frequent use." **Elsewhere, we spotted two interesting things this week.** Firstly, US-listed website builder Wix (covered by Elizabeth Porter) commented on their conference call that "The deployment of Base 1 [Wix's proprietary model] marks a turning point in lowering our AI inference and compute costs [...] We now expect non-GAAP gross margin for Base44 to be approximately 60% in the second half of the year, a meaningful improvement from the near-zero non-GAAP gross margin entering this year." Secondly, US-listed information services giant Thomson Reuters (covered by Toni Kaplan) indicated the success of their proprietary Thomson model, which trained "on less than 10% of [their] legal content to date... delivers results on par with the latest version of the leading frontier models.... at a meaningfully lower cost, and in many cases, at significantly reduced latency versus third-party models."

3) SAP: 2Q26 AlphaWise Reseller AI Survey – Traction Building? (#SAP): Our new biannual reseller AI survey digs into an extended set of questions around SAP's AI positioning. We share a couple of key takeaways below, with the [full survey results here](#).

- **Responses lend support to SAP's Business AI narrative, although customer AI adoption remains early:** 33% of resellers report paid Business AI/Joule adoption in their customer base (c. 10pps is broad adoption), while 53% report customers are mainly in pilots. 87% of resellers expect AI to increase customers' spending with SAP over the next 12 months. Roughly two-thirds of resellers still see SAP as a net AI gainer (mostly a small net gainer, rather than a large one).
- **The clearest near-term AI opportunity is faster S/4HANA conversion, rather than standalone AI revenue...** 80% of resellers expect SAP's AI migration tools to increase customers' willingness to move to S/4HANA over the next 12–24 months. This chimes with our system integrator checks, which point to tangible productivity gains across documentation, code remediation, data migration, testing and quality assurance.

Exhibit 2: Do you expect SAP to be a net gainer or a net loser from incremental AI investment and usage in enterprise software?



Source: AlphaWise, Morgan Stanley Research, n=30 (US and European data)

4) Legora launches US primary law into its platform (#RELX): Legora [announced on Wednesday](#) that it had added "comprehensive federal and state appellate US case law, continuously updated statutes and regulations, and federal agency guidance to its legal research data sources. Every document has been sourced directly from the courts, official reports, agencies themselves, and trusted partners - verified meticulously, then ingested and structured on Legora's own infrastructure". Legora notes that Legal research has "long been locked behind a handful of providers, each holding a different slice of the law" with Legora looking to develop a primary law corpus from the ground up. Currently, Thomson Reuters (TR) and RELX are the dominant forces in the US legal research market; RELX itself indicates that it has >200 billion legal and news documents and public records, from more than 50k sources. On case law specifically and looking solely at the document level, RELX believes it has 144+ million documents, including 10m+ unpublished cases. We think Legal Research and Legal Workflow products will continue to converge over time, so it is not surprising to see Legora look to find solutions to the Legal Research side of the equation, should TR and RELX keep their data in walled gardens, particularly after Legora's acquisition of Swedish Legal business firm Qura earlier this year. We still lean to thinking that replicating a comparable legal research product to TR/RELX will be a tall order – particularly if an AI-synthesised approach is used – but this is an area we will continue to monitor. We think a competing product would need to in effect cover off three areas: 1) full coverage primary content, 2) value-added interpretation of those cases (equivalent to TR/RELX's headnotes/expert summaries), and 3) a citation network.

5) IONOS: Multi-faceted Growth – Upgrade to Overweight (#IONOS): IONOS is a leading European webhosting business, selling solutions such as domain names, webhosting, and other areas of the website value stack. Although 2Q missed on adj. EBITDA (mainly timing of cost investment), we came away from the results with increased confidence in IONOS' growth algorithm. [We had raised our forecast stack for IONOS a fortnight ago](#), but raised our forecasts again, and now expect group growth to accelerate in FY27 to c. 8.6% cc. We see the business accelerating at the group level in FY27 as continued strong customer momentum combines with greater pricing effects in the mix. At a c. 0.93x PEG (as at Thursday's close) we think IONOS' stock outperformance can run further as growth execution continues. We

also see potential upside optionality from both: 1) Cloud Solutions and 2) AI product innovation (e.g., the AI Phone Receptionist), which our current forecast stack does not fully reflect. We see a clear catalyst pathway ahead, led by 3Q results in November, where investors will look for reassurance that the FY26 adjusted EBITDA target of c. €530m remains on track, and an update on the latest AI adoption metrics. A further catalyst should come later in 2026, with an update on medium-term financial targets and scope for these targets to be brought forward. [See our full note here.](#)

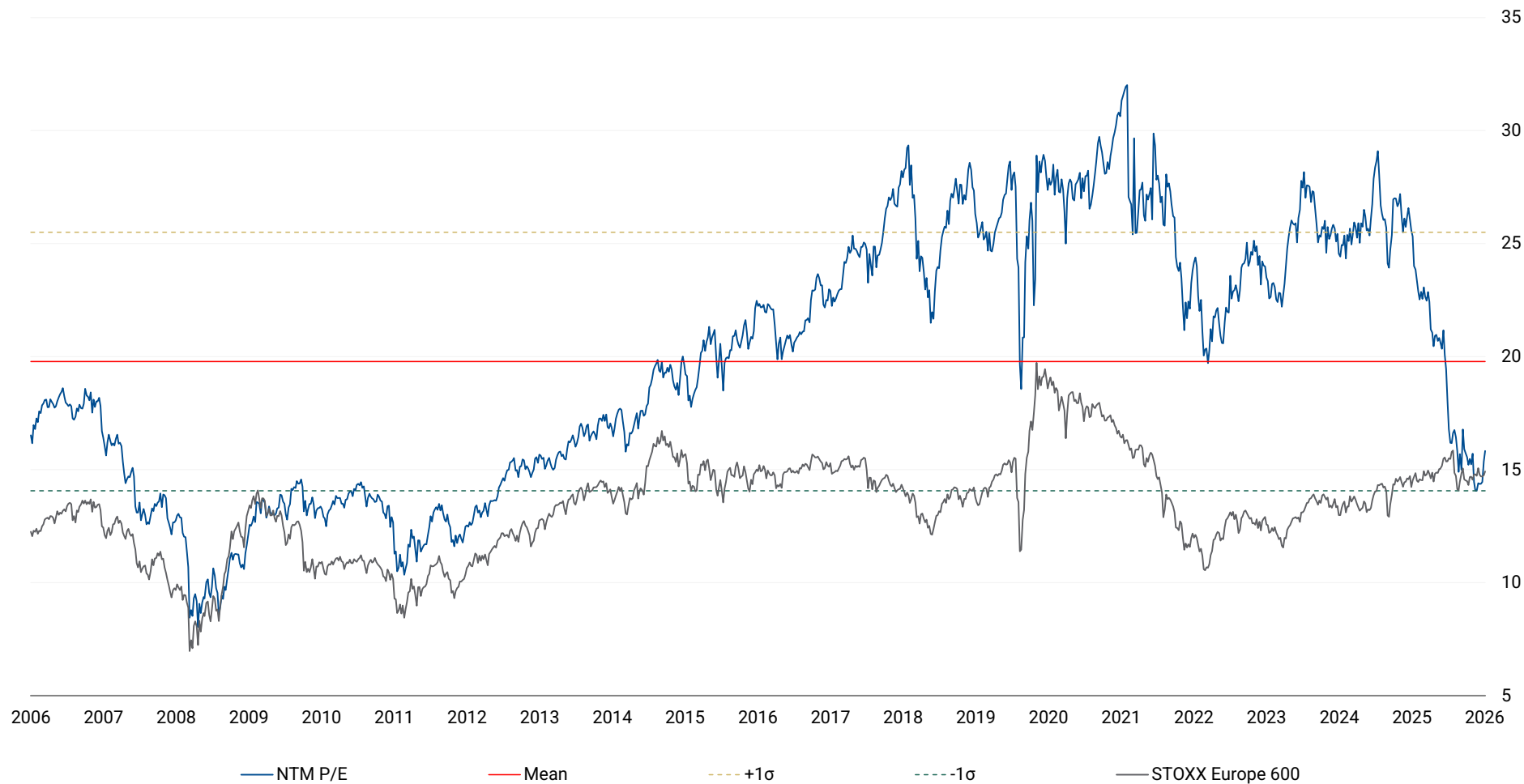
Exhibit 3: Key week ahead events

Monday 10/08/2026	Tuesday 11/08/2026	Wednesday 12/08/2026	Thursday 13/08/2026	Friday 14/08/2026
			Netcompany 2Q26 Results	
Key	■ MS Europe Coverage	■ Other Global Stocks	■ Industry Event	■ Other

Source: Morgan Stanley Research

Coverage Valuation vs. European Market

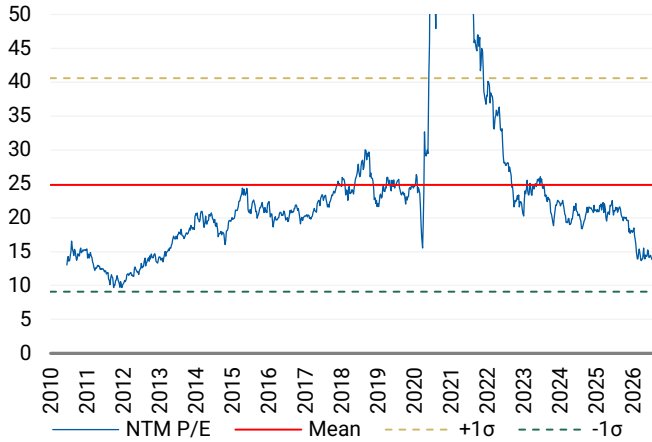
Exhibit 4: European Software & Services NTM P/E vs STOXX Europe 600



NB: Mean of CAP, DSY, INF, NEM, REL, SGE, SAP, TEMN, TIETO, and WKL. Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

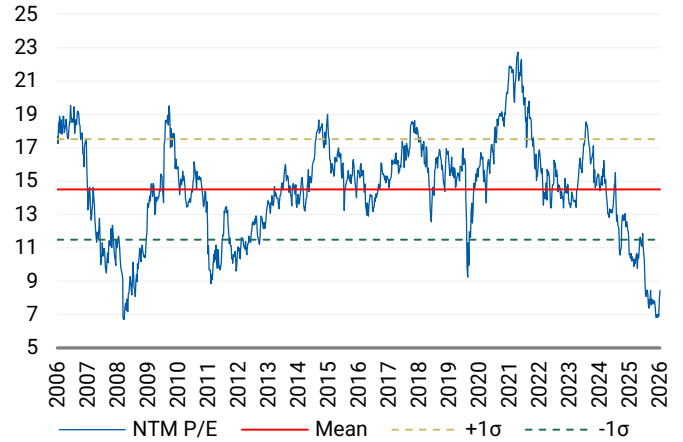
Long-Term Valuation Charts

Exhibit 5: Amadeus P/NTM Earnings



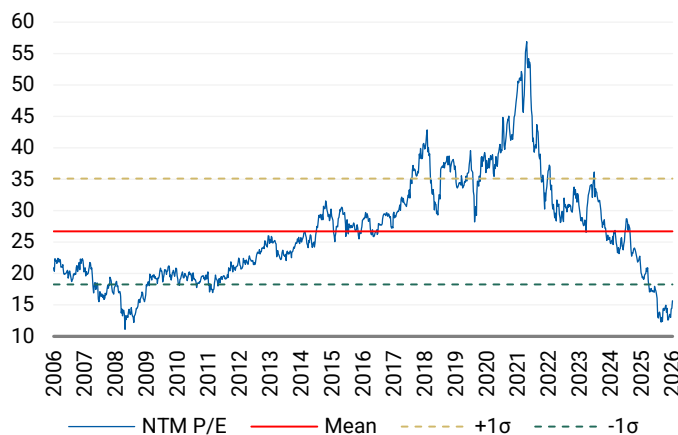
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 6: Capgemini P/NTM Earnings



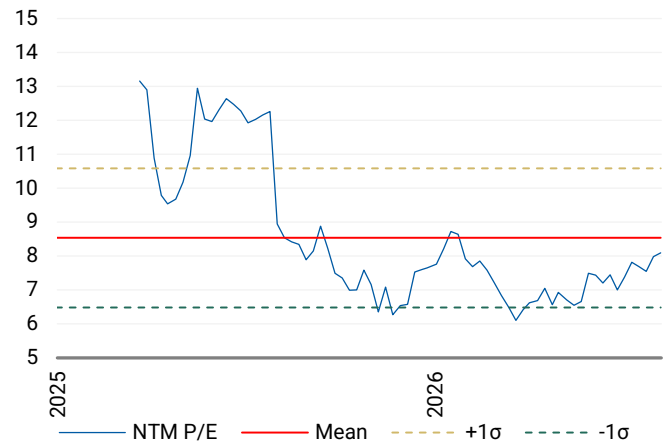
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 7: Dassault Systemes P/NTM Earnings



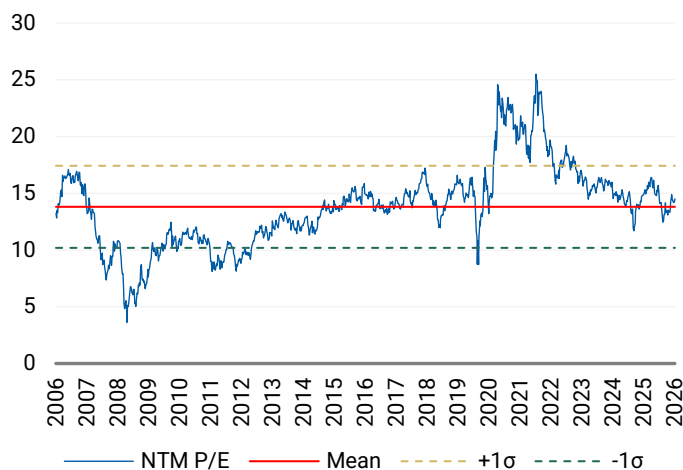
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 8: HBX Group International P/NTM Earnings



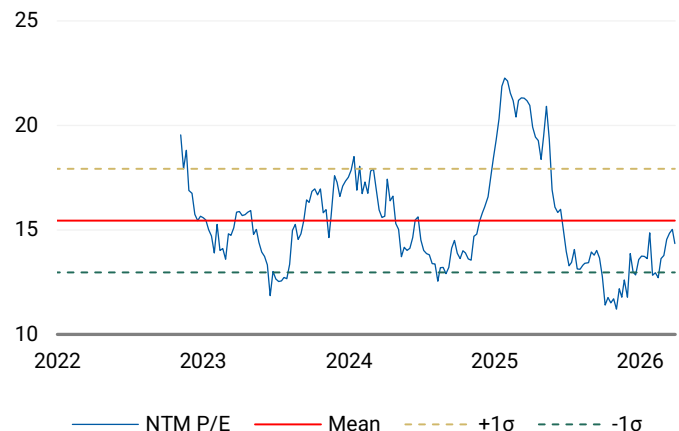
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 9: Informa P/NTM Earnings



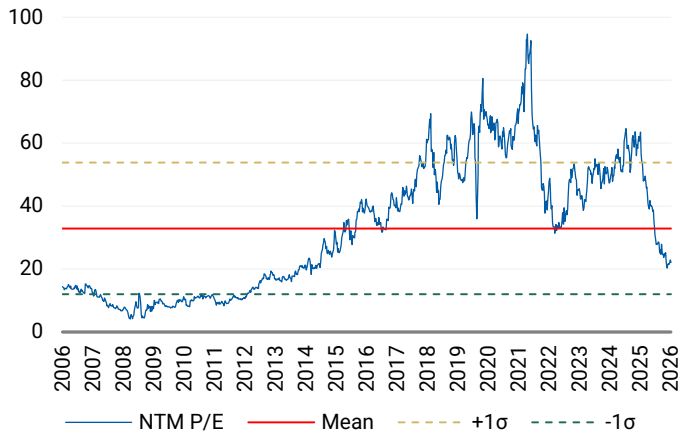
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 10: IONOS P/NTM Earnings



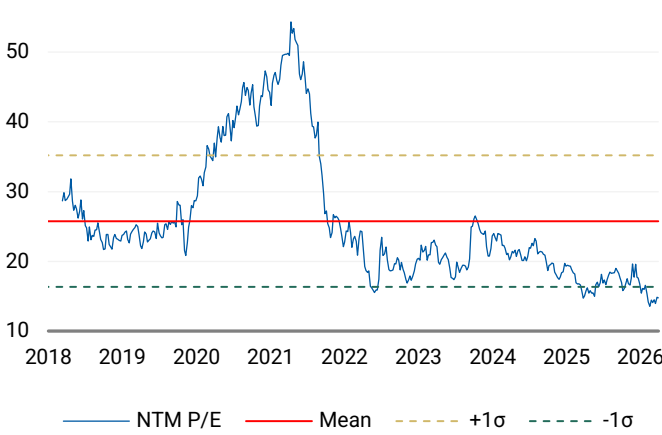
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 11: Nemetschek Group P/NTM Earnings



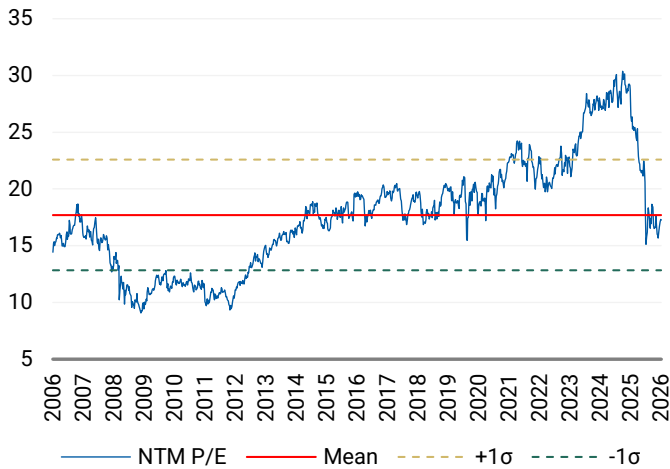
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 12: Netcompany P/NTM Earnings



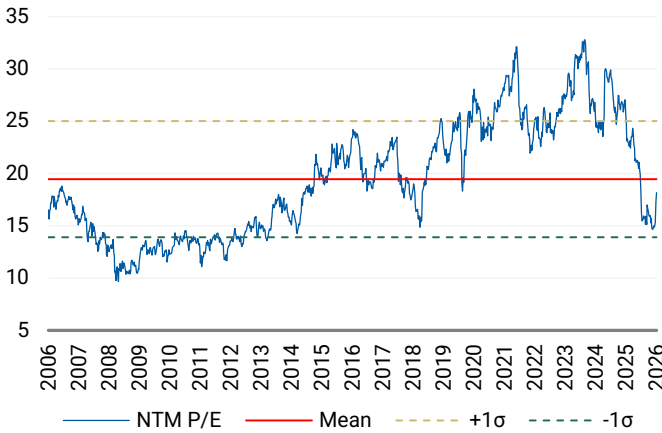
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 13: RELX P/NTM Earnings



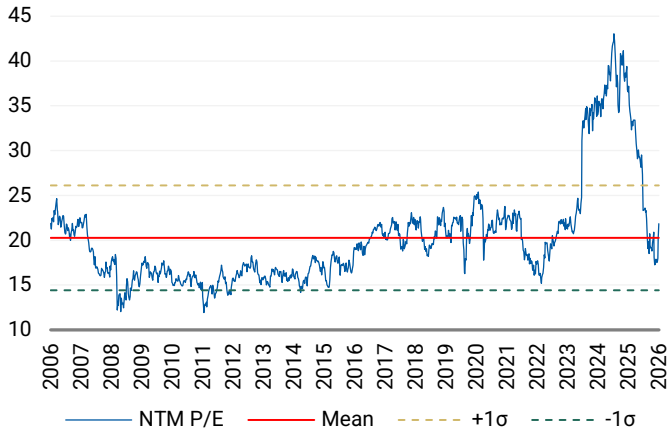
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 14: Sage Group P/NTM Earnings



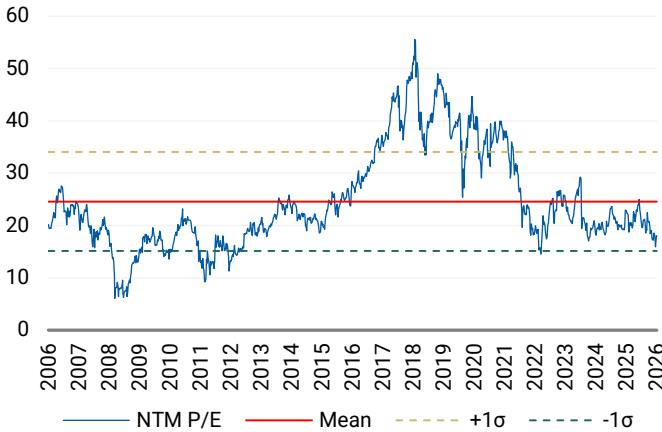
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 15: SAP P/NTM Earnings



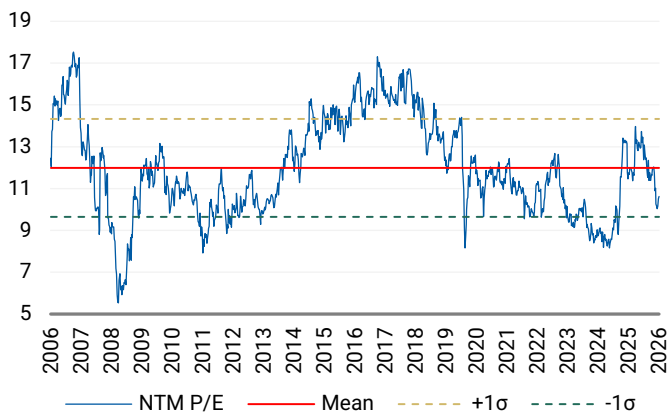
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 16: Temenos P/NTM Earnings



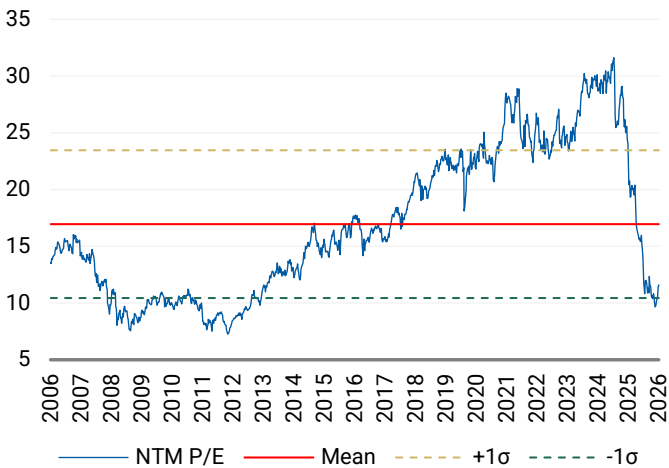
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 17: Tieto P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 18: Wolters Kluwer P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Coverage Company Guidance

Exhibit 19: Company Forward Guidance (1/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Amadeus	Mid to high single-digit revenue growth (in cc) Adj. EBIT margin stable at cc (FY25: 29.1%) Adj. diluted EPS growth at high single-digit to low double-digit FCF between €1.35-1.45 billion	Over 2026-2028: High single digit annual revenue growth (in cc) Adj. EBIT margin expansion over the period Adj. diluted EPS growth CAGR at low double-digit FCF growth CAGR at high single digit
Capgemini	Revenue growth of +8.5 to 9.0% cc (inorganic c. 5pts; organic c. 3.5 to 4%, MSe) Operating margin of 13.6% to 13.8% Organic FCF of €1.8 to 1.9bn	2028 financial ambitions: 2025-28 revenue CAGR at cc of +5.5-7.5% (c. +3.5-5.5% organic) Operating Profit pre-acquisition expense to reach 12.1-12.3% of revenue (c. 130-150bps expansion vs 2025) Cumulative organic FCF >€6bn over 2026-28
Dassault Systemes	Total revenue growth between 3 to 5% (cc) Software revenue growth 3 to 5% (cc) Services revenue growth of 2 to 6% (cc) Adj. EBIT margin guidance is 32.2 to 32.6% EPS €1.30 to 1.34	Basic 2029 EPS of €2.4
HBX Group International	+13 to +15% YoY growth in TTV -2% to flat YoY revenue growth -5 to -2% adj. EBITDA growth c. 90 to 100% operating FCF conversion	Low-double digit TTV annual growth High-single digit revenue growth Low sixties adj. EBITDA margin % c. 100% cash conversion
Informa	6%± underlying revenue growth 7%+ B2B Events underlying revenue growth 4%± Taylor & Francis underlying revenue growth Return to revenue growth for TechTarget Underlying double-digit growth in adj. EPS	5%+ underlying revenue growth p.a. out to FY28
IONOS Group	Group: c. 8% cc revenue growth with c. €530m of adj. EBITDA (c. 37-38% margin) Web Presence & Productivity: c. 8% cc revenue growth Cloud Solutions: 10-15% cc revenue growth	Total revenue growth (CAGR) c. 10% Web Presence & Productivity revenue growth (CAGR) c. 9% Cloud Solutions revenue growth (CAGR) c. 20% Adj. EBITDA margin c. 40% Capex (% of revenue) c. 6%
Nemetschek Group	14-15% constant currency organic revenue growth 32-33% adj. EBITDA margin (reported) HCSS (from 1 Jul '26): +c.600bps to reported revenue growth (incl. PPA); c.150bps EBITDA margin dilution vs guidance midpoint	None
Netcompany Group	Group revenue growth of 15-20% y/y (in CC), 5-10% excluding NBS Adj. EBITDA margin of 16-19%, 17-20% excluding NBS	Long-term: Annual organic revenue growth of 5-10% "through any business cycle" Adj. EBITDA margins >20% by (in) FY29
RELX	"We continue to see positive momentum across the group, and we expect another year of strong underlying growth in revenue and adjusted operating profit, as well as strong growth in adjusted earnings per share on a constant currency basis". Buybacks of £2,250m	Risk: "Sustain strong long-term growth profile" STM: "Continue on improving growth trajectory" Legal: "Continue on improving growth trajectory" Exhibitions: "Sustain strong long-term growth profile"

Source: Company data, compiled by Morgan Stanley Research

Exhibit 20: Company Forward Guidance (2/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Sage Group	Organic total revenue growth in FY26 to be above 9% Operating margins are expected to trend upwards in FY26 and beyond	None
SAP	Cloud revenue of €25.8-26.2bn at cc (23% to 25% cc growth). Cloud and software revenue of €36.3-36.8bn at cc (12%-13% cc growth). Non-IFRS operating profit of €11.8-12.2bn (13-17% cc growth). Free cash flow c. €10bn	Expect total revenue growth to accelerate in 2027. Total operating expenses are expected to grow at 80 to 90% of total revenue growth in 2027.
Temenos	ARR growth of c. 12% Subscription and SaaS growth of c. 9% EBIT growth c. 9% FCF growth c. 16% (reported)	Mid-term (FY28): ARR to reach >\$1.23bn Non-IFRS EBIT of at least c.\$480m FCF of at least \$410m
Tieto	Organic growth of -5% to -3% and Adj. EBITA margins of 14.8 to 15.8%	Revenue growth of over 5% CAGR in 2027-2028 EBITA margins of over 16% by 2028
Wolters Kluwer	Good organic revenue growth Adj. EBIT margin: c. 28% Diluted adj. EPS growth (% , cc): High single digit growth Adj. FCF (EUR, cc): €1,300m to €1,350m	None

Source: Company data, compiled by Morgan Stanley Research

Appendix: MS European Software & Services Coverage

Exhibit 21: Coverage Summary

Company	Analyst	Rating	Price Target		Software & Services		
Amadeus	George Webb	Overweight	EUR	65.00	amadeus	HEXAGON	DASSAULT SYSTEMES
Capgemini	George Webb	Equal-weight	EUR	117.00	Sage	SAP	NEMETSCHEK GROUP
Dassault Systemes	George Webb	Equal-weight	EUR	22.00	temenos	Netcompany	HBX GROUP
HBX Group International	Mark Hyatt	Equal-weight	EUR	8.10	Capgemini	IONOS	RELX
Hexagon AB	George Webb	N/A	N/A	N/A	SAP	informa	tieto
Informa	George Webb	Overweight	GBp	1,085			
IONOS Group	George Webb	Overweight	EUR	38.75			
Nemetschek Group	George Webb	Equal-weight	EUR	74.25			
Netcompany	George Webb	Underweight	DKK	334.00			
RELX	George Webb	Equal-weight	GBp	2,990.00			
Sage Group	George Webb	Overweight	GBp	1,140.00			
SAP	Adam Wood	Overweight	EUR	190.00			
Temenos	Mark Hyatt	Underweight	CHF	59.00			
Tieto	Mark Hyatt	Underweight	EUR	15.80			
Wolters Kluwer	George Webb	Equal-weight	EUR	80.50			

Source: Morgan Stanley Research

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Adam Wood		
SAP SE (SAP.N)	O (02/20/2026)	US\$199.46
SAP SE (SAPG.DE)	O (03/20/2020)	€170.98
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€56.48
Capgemini (CAPP.PA)	E (02/19/2026)	€109.25
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€21.73
Hexagon AB (HEXAb.ST)		SKr 96.56
IONOS Group SE (IOSn.DE)	O (08/07/2026)	€30.20
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€56.65
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 325.00
Sage (SGE.L)	O (12/08/2021)	1,028p
Marie-Ange Riggio		
Indra (IDR.MC)	O (07/14/2026)	€61.36
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.84
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 69.50
Tieto Oyj (TIETO.HE)	U (01/12/2026)	€18.72

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* Historical prices are not split adjusted.